savers. These are denominated in monetary rupees and earn returns in rupees. Banks return the original investment in nominal rupees along with interest on maturity or at due periodicity. If banks were to provide gold savings accounts and gold fixed deposits, returning the same amount of gold at maturity and paying some interest in rupees for the period of deposit, savers/investors would continue to be protected for the value of gold as gold (like saving in physical gold). Over and above, they would get some financial returns in the form of gold. For investors who store jewellery as an investment alone, such gold savings/fixed deposit accounts would save the cost of making charges and keep their gold safe. Therefore, the banking system should offer gold savings accounts and fixed deposits.

These gold accounts can be opened with either households/temples surrendering idle gold to the banks or even making deposits in rupees equivalent to the day's price of gold. The investor should have the assurance and option to receive the equivalent value of gold or physical gold on the day of maturity. This would build confidence and trust. The bank receiving the gold deposit can, of course, convert it into a financial resource by selling/transferring it to gold traders, jewellery manufacturers or gold vaults offering such services. The funds so raised would earn returns like all other deposits. With appropriate risk management practices, banks can not only hedge the price risk on gold but offer a financial return to the savers. This is precisely the logic of the SGB scheme. A special class of non-banks—gold NBFCs—can also be created/licensed to offer these savings and fixed deposit products. It should be fair to assume that if the government can offer a financial return of 2.5 per cent per annum in addition to protecting the value of gold, banks and non-banks can do better.

Second, the SGB scheme should be revamped to make it work better. The Government of India offers several certificates and bonds schemes, such as National Savings Certificates, Kisan Vikas Patra and RBI Savings Bond Scheme. These are all fixed period products that return the original